

RESERVE BANK OF INDIA

DEPARTMENT OF REGULATION, CENTRAL OFFICE, MUMBAI

RBI/2024-25/132 DOR.CRE.REC.54/21.04.172/2024-25

September 22, 2024

Scale Based Regulation (SBR) - Regulatory Framework for Non-Banking Financial Companies

1. Categorization Layers: Under the Scale Based Regulation framework, NBFCs are categorized into four layers based on size, activity, and perceived riskiness: Base Layer (NBFC-BL), Middle Layer (NBFC-ML), Upper Layer (NBFC-UL), and Top Layer (NBFC-TL).
2. Net Owned Fund (NOF) Requirement: The minimum Net Owned Fund requirement for NBFC-ICC (Investment and Credit Companies), NBFC-MFI (Micro Finance Institutions), and NBFC-Factor is fixed at rupees ten crore (INR 10,00,00,000). Existing entities falling short of this requirement must achieve the rupees ten crore threshold by March 31, 2027.
3. Middle Layer Threshold: Non-deposit taking NBFCs with asset size of rupees one thousand crore (INR 1,000 crore) and above, and all deposit-taking NBFCs irrespective of asset size, are classified under the Middle Layer. Core Investment Companies (CICs) and Infrastructure Finance Companies (IFCs) are also placed in the Middle Layer.

4. Core Banking Solution (CBS): NBFCs in the Middle Layer and Upper Layer having ten or more branches must mandatorily adopt Core Banking Solution (CBS) software across all branches on or before September 30, 2025.
5. Ceiling on IPO Financing: The ceiling on financing for subscription to Initial Public Offerings (IPOs) is fixed at rupees one crore (INR 1,00,00,000) per individual borrower. NBFCs are strictly prohibited from granting any credit facility exceeding this ceiling for IPO subscriptions.
6. Capital Adequacy for NBFC-ML: NBFCs in the Middle Layer shall maintain a minimum Capital to Risk-weighted Assets Ratio of 15 percent on an ongoing basis, consisting of minimum Tier 1 capital of 10 percent.

7. NPA Classification Period: The overdue period for classification of loans as Non-Performing Assets (NPAs) across all categories of NBFCs is harmonized to ninety calendar days (90 days). Upgradation of accounts classified as NPAs can only be done upon clearing of entire arrears of interest and principal.
8. Chief Compliance Officer (CCO): NBFCs in the Middle Layer and Upper Layer shall appoint a Chief Compliance Officer to ensure compliance oversight. The CCO shall have a minimum tenure of three years and cannot be removed without prior Board consultation.
9. Internal Audit Architecture: NBFCs in the Upper Layer and Middle Layer shall adopt Risk-Based Internal Audit (RBIA) framework reporting directly to the Audit Committee of the Board.

10. Mandatory Listing for Upper Layer: NBFCs identified and classified in the Upper Layer (NBFC-UL) must be mandatorily listed on recognized stock exchanges within a maximum time frame of three years from the date of identification.

11. Disclosures in Annual Financial Statements: NBFC-UL entities shall disclose corporate governance scores, exposure to real estate, capital market exposures, and ratings assigned by external credit rating agencies in notes to accounts.

12. Top Layer Classification: The Top Layer remains empty by default and shall only be populated if the Reserve Bank determines that an Upper Layer NBFC poses extreme systemic risk.

Yours faithfully,

(Manish Parashar)

Chief General Manager